

positively for a while, and then sharply negative. But most of those stars have turned out to be comets.

Given this change from the collective to the individual, it is hardly surprising that fund investment strategies have also been drastically altered. In 1951, the typical mutual fund focused on the wisdom of long-term investing, holding the average stock in its portfolio for about six years. Today, the holding period for a stock for *actively managed* equity funds is just one year. (More charitably, on a dollar-weighted basis, the average holding period is just over 1.5 years.) Either way, the typical mutual fund of today is focused on the folly of short-term speculation.

With these changes, fund costs have soared. On an *unweighted* basis, the expense ratio of the average actively managed equity fund has almost doubled, from 0.77 percent in 1951 to 1.50 percent in 2007. To be fair, when *weighted* by fund assets, the expense ratio has risen from 0.60 percent to 0.93 percent, a lower, but still staggering, increase of more than 50 percent. Put another way, if we apply those ratios to equity fund assets of \$2 billion in 1951 and to \$7 trillion in 2007 respectively, an industry that once provided its services—rather more effectively—for \$12 million a year now does so—less effectively—for \$65 *billion* a year.

Good for Managers, Bad for Shareholders

However calculated, this astonishing rise in costs constitutes a major drag on the returns earned by fund investors. Despite the quantum growth in industry assets since 1951, managers have arrogated to themselves the lion's share of the extraordinary economies of scale available in the field of money management, rather than directing that lion's share of economies to the fund owners, who, to state the obvious, made them possible. As noted earlier, money managers—led by the giant global financial conglomerates that dominate the industry (those conglomerates now own 32 of the 50 largest fund organizations, and another nine firms are publicly owned)—hold as their highest priority the return earned on *their own capital*, rather